PREPARING LEADERS FOR ORGANIZATIONAL CHANGE

Evidence-Based Recommendations for Building Change Leadership Capability

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Business Case for Change Leadership

Organizations are investing billions of dollars in artificial intelligence (AI) with the expectation that it will improve productivity, innovation, and financial performance. Yet for many organizations, those investments have produced little measurable return. In a recent analysis of more than 300 enterprise AI initiatives, MIT Project NANDA estimated that despite $30–40 billion in enterprise AI investment, only 5% of AI implementations were extracting millions of dollars in business value, while the remaining 95% had yet to produce measurable financial returns (MIT Project NANDA, 2025). Similarly, McKinsey & Company's 2025 Global Survey on AI, which surveyed nearly 1,500 respondents representing organizations across 101 countries found that while 78% of organizations reported using AI in at least one business function, only 21% had fundamentally changed how employees work to fully capture its value (Singla et al., 2025).

Together, these findings underscore that organizations create value not simply by implementing new technology, but by helping employees successfully adopt new ways of working (MIT Project NANDA, 2025; Singla et al., 2025). Although AI has brought this challenge to the forefront, helping employees successfully navigate organizational change is not a new problem. Whether implementing new technology, restructuring teams, or navigating mergers and acquisitions, organizations depend on leaders who can help employees understand change, build commitment, and adapt. This white paper examines the leadership behaviors, characteristics, and developmental experiences that best prepare leaders for this role and offers evidence-based recommendations organizations can use to strengthen change leadership.

What Matters for Effective Change Leadership

Employee Reactions to Organizational Change

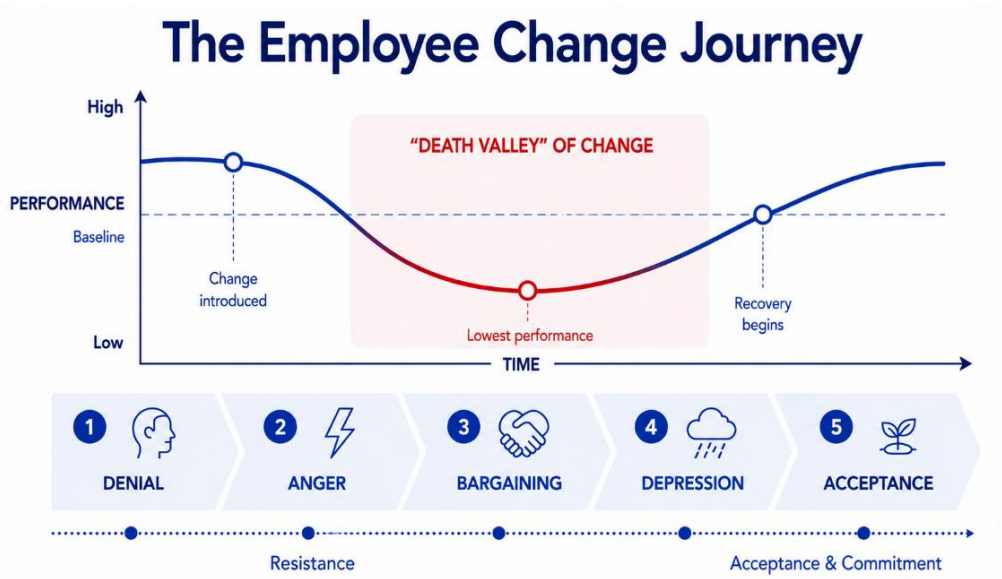
Organizational change often triggers a range of employee reactions, including changes in how employees think, feel, and behave (Oreg et al., 2011). These reactions play a key role in whether employees support, go along with, or resist change initiatives. In many cases, how employees interpret the change becomes just as important as the change itself.

Emotional responses are a central part of this process and often shape how change is experienced. A useful way to understand these reactions is through the framework introduced by Elisabeth Kübler-Ross (1969), which explains how individuals commonly experience stages such as denial, anger, and eventual acceptance. While this framework was not originally developed in an organizational context, it provides a useful way for understanding why resistance is often strongest in the early stages of change. Importantly, not all employees move through this process in the same way or at the same pace. Individual differences such as adaptability, tolerance for ambiguity, prior experiences with change, and trust in leadership may influence whether employees gradually move toward acceptance or remain resistant throughout the change process.

While Kübler-Ross helps explain the emotional process individuals often experience during change, Elrod and Tippett (2002) extend this idea to the organizational level through the concept of the “Death Valley of Change.” They describe a period in which organizations typically experience temporary declines in morale, confidence, capability, and productivity as employees adjust to new expectations and ways of working. This performance dip reflects the disruption that often accompanies organizational change and highlights how emotional reactions at the individual level can collectively influence organizational functioning.

What is particularly important for organizations to recognize is that employees do not always successfully progress through the change process. Some employees become stuck in stages such as anger or depression and never fully reach acceptance of the change. When a significant portion of employees remain resistant, organizations are more likely to experience lower employee commitment,

reduced support for the initiative, and poorer change implementation outcomes (Oreg et al., 2011; Rafferty et al., 2013). Understanding these emotional and behavioral reactions is important because they can shape whether employees ultimately support or resist organizational change efforts. These reactions also provide important context for understanding how leadership behaviors influence employee adjustment and overall change success.



Creating Change Readiness Through Transformational Leadership

Change readiness reflects employees' beliefs, attitudes, and intentions toward a change initiative (Armenakis et al., 1993). When employees are ready for change, they become active participants in the change effort rather than passive observers or sources of resistance and this willingness to support, participate in, and contribute to implementation lays a critical foundation for successful organizational change (Rafferty et al., 2013). Leaders play a central role in shaping these beliefs through clear communication, credibility, and opportunities for employee involvement (Armenakis et al., 1993; Rafferty et al., 2013). One of the most well-established approaches for accomplishing this is transformational leadership. Rather than focusing primarily on managing day-to-day tasks, transformational leaders inspire employees around a shared vision, encourage new ways of thinking, and provide support throughout periods of uncertainty (Judge & Piccolo, 2004). Judge and Piccolo (2004) describe transformational leadership as consisting of four dimensions:

- **Idealized influence** refers to leaders serving as trusted role models who demonstrate conviction and build credibility.
- **Inspirational motivation** involves communicating an engaging vision that gives employees confidence and purpose.
- **Intellectual stimulation** encourages employees to challenge assumptions, think creatively, and approach problems in new ways.
- **Individualized consideration** focuses on coaching, mentoring, and attending to employees' individual concerns and development needs.

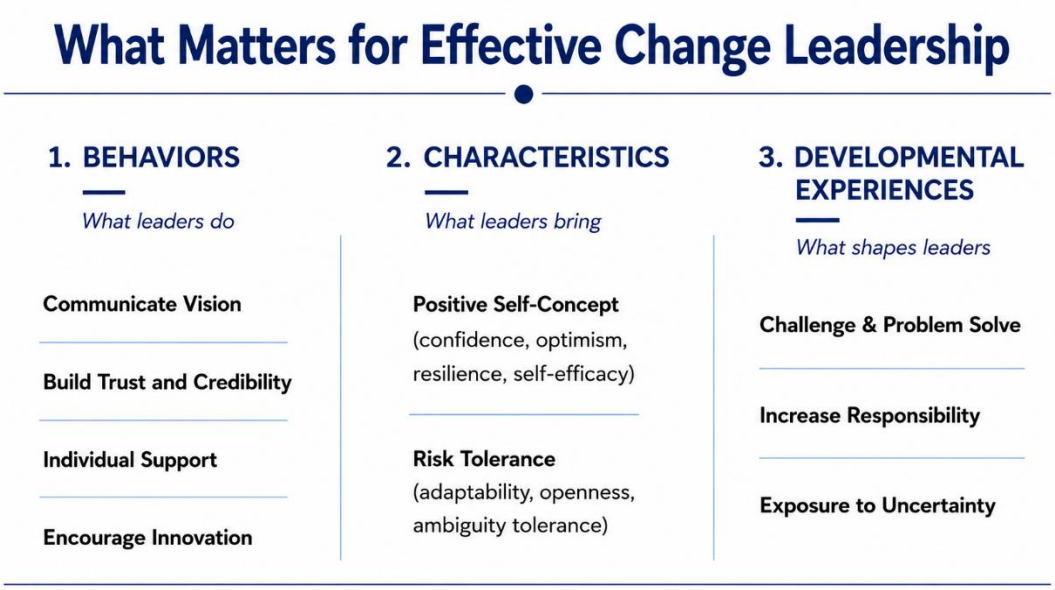
Together, these four dimensions help explain why transformational leadership is consistently associated with more positive employee and organizational outcomes. Judge and Piccolo (2004) reviewed findings across 87 studies and found that transformational leadership was associated with higher employee motivation, greater job satisfaction, and stronger perceptions of leader effectiveness. Similarly, Bommer et al. (2005) found that employees were less cynical toward organizational change when leaders demonstrated transformational leadership behaviors. In their study of 372 employees over a nine-month

period, employees who viewed their leaders as more transformational were more likely to remain open to change rather than become resistant to it. More recent research suggests these benefits extend to AI implementation. In a three-wave study of employees using AI in the workplace, Jeong and Jeong (2025) found that transformational leaders helped employees build the confidence to embrace AI and use it more creatively in their work, illustrating how leadership can influence whether employees fully adopt new ways of working. Together, these findings demonstrate that transformational leadership helps create change readiness by increasing employees' openness to change, reducing cynicism and resistance, and strengthening employees' willingness to embrace new ways of working.

What Makes Effective Change Leadership?

Effective change leadership is shaped by three interconnected areas: **leadership behaviors, leader characteristics, and developmental experiences.** Each contributes to how effectively leaders help employees navigate organizational change.

Leadership Behaviors



Transformational leaders do more than simply manage tasks during organizational change. They help employees navigate uncertainty, remain committed to organizational goals, and adapt throughout the change process. One of the core dimensions of transformational leadership is inspirational motivation, which focuses on communicating a clear and inspiring vision (Judge & Piccolo, 2004). In practice, a transformational leader, rather than simply announcing that a new system is being implemented would explain why the change is necessary, how it supports organizational goals, and what success will look like for employees. Leaders who clearly explain the purpose of change and involve employees in the process help employees make sense of uncertainty and increase readiness for change (Armenakis et al., 1993; Rafferty et al., 2013).

Communicating a compelling vision is only part of effective change leadership. Employees must also trust the leader delivering that message. Transformational leaders build this trust through idealized influence and individualized consideration. Leaders demonstrate idealized influence by modeling the behaviors they expect from others, for example, openly embracing new ways of working themselves and remaining consistent between what they say and what they do. An example of demonstrating individualized consideration would be recognizing that employees adjust to change at different paces, providing coaching, addressing concerns, and offering additional support to those who need it (Judge & Piccolo, 2004). These behaviors help employees view change as more of a collaborative process being done with them rather than to them, increasing their sense of support and control during periods of uncertainty (Seo et al., 2012). Herold et al. (2008) reinforces this idea in a study of 343 employees across 30 organizations undergoing real organizational change and found that employees were more committed to change when

they trusted and respected the leader guiding them. Good change-management practices still mattered, but they were most effective when delivered by leaders whom employees already viewed as transformational.

The final dimension, intellectual stimulation, encourages employees to challenge assumptions, think creatively, and remain open to new approaches during periods of uncertainty (Judge & Piccolo, 2004). Rather than expecting employees to simply follow a new process, transformational leaders invite employees to question existing practices, ask for their ideas on improving new processes, and encourage experimentation with better ways of accomplishing the work.

Leadership Characteristics

In addition to leadership behaviors, certain leader characteristics also influence how effectively leaders guide organizational change. Judge et al. (1999) proposed that two broad dispositions are particularly important during periods of organizational change: positive self-concept and risk tolerance. More than two decades later, Gonzalez et al. (2023) reinforced this framework in a meta-analysis of 154 studies involving more than 15,000 employees, finding that both dispositions consistently predicted more positive employee responses and work outcomes during organizational change.

Positive self-concept reflects an individual's confidence in their ability to successfully navigate challenges and uncertainty. This broader disposition includes characteristics such as self-efficacy, optimism, resilience, and an internal locus of control (Judge et al., 1999; Gonzalez et al., 2023). Gonzalez et al. (2023) found that positive self-concept was consistently associated with more positive responses to organizational change and more favorable work outcomes. Leaders with stronger positive self-concepts are therefore more likely to remain confident and psychologically resilient during periods of disruption, helping reinforce employee confidence and stability throughout the change process.

Risk tolerance reflects a willingness to engage with uncertainty, change, and novel situations. Rather than representing a single characteristic, risk tolerance encompasses dispositions such as adaptability, openness to experience, and tolerance for ambiguity (Judge et al., 1999; Gonzalez et al., 2023). Leaders with higher risk tolerance are more likely to view uncertainty as an opportunity for learning and growth rather than something to avoid. This mindset better equips leaders to navigate rapidly changing environments, adapt to evolving organizational demands, and guide employees through complex change initiatives.

Developmental Experiences

In addition to leadership behaviors and characteristics, prior experiences navigating uncertainty and challenge also influence how effectively leaders guide employees through organizational change. Drawing on 225 real work experiences from 60 managers across more than 80 organizations, DeRue and Wellman (2009) found that leaders develop many of their most important capabilities through challenging assignments that stretch them beyond their current responsibilities. Experiences such as leading a cross-functional initiative, taking on unfamiliar responsibilities, influencing people without formal authority, or solving complex business problems require leaders to navigate ambiguity and develop new leadership capabilities. These experiences help leaders develop the flexibility and resilience needed to effectively lead organizational change.

Importantly, DeRue and Wellman (2009) found that leadership skill development increased as work experiences became more developmentally challenging. However, they also found diminishing developmental returns when experiences became excessively challenging. This shows that leaders can become overwhelmed if the demands placed upon them exceed their current capabilities. Gonzalez et al. (2023) further found that positive self-concept and risk tolerance were more strongly associated with employee outcomes once organizational change was underway than before change began, indicating that

these underlying leader dispositions are often most visible when leaders are required to navigate uncertainty. Together, these findings show that intentionally exposing developing leaders to progressively challenging experiences allows organizations to both strengthen leadership capabilities and identify leaders who are best prepared to guide employees through future organizational change.

Building Change Leadership Capability



The research reviewed in this paper suggests that organizations can strengthen change leadership by effectively leveraging the behaviors, characteristics, and developmental experiences associated with successful organizational change. Rather than relying on leaders to build these capabilities during major change initiatives, organizations should implement a proactive and structured approach that assesses current leadership capability, develops change leadership skills, and reinforces effective behaviors over time.

Assess Current Change Leadership Capability

Organizations should begin by assessing both the transformational leadership behaviors and leader characteristics associated with successful organizational change. Rather than relying on general leadership evaluations alone, organizations should use 360-degree feedback to assess transformational leadership behaviors such as communicating a clear vision, building trust and credibility, encouraging employees to share ideas, and providing individualized support. Because these tools capture the employee perspective, they provide leaders with valuable insight into how their behaviors influence employee readiness, emotional responses, and commitment to change (Herold et al., 2008; Seo et al., 2012).

Behavioral assessments should be complemented with validated assessments of positive self-concept and risk tolerance. Because these characteristics are relatively stable dispositions, they can help organizations identify leaders who may be naturally better equipped to navigate uncertainty, as well as leaders whose development may be hindered by lower confidence or discomfort with ambiguity.

Together, these assessments provide organizations with a foundation for talent decisions. Behavioral assessments identify leadership capabilities that can be strengthened through training, coaching, and developmental experiences, while characteristic assessments help organizations identify who is ready to lead current change initiatives and where future leadership development investments will have the greatest impact.

Develop Change Leadership Capability

Developing leaders who can effectively support organizational change requires more than traditional leadership training. Organizations should intentionally develop the four dimensions of transformational leadership associated with successful organizational change: idealized influence,

inspirational motivation, intellectual stimulation, and individualized consideration (Judge & Piccolo, 2004). Rather than relying on one-time training events, organizations should establish a structured leadership development program built around four components:

- **Formal leadership training** to introduce transformational leadership concepts and behaviors.
- **Transfer of learning** to ensure leaders apply new skills in the workplace.
- **Challenging developmental experiences** that provide opportunities to practice transformational leadership behaviors in real organizational settings.
- **Ongoing coaching, feedback, and structured reflection** throughout the leadership development process to reinforce learning and support continued growth.

The program should begin with formal leadership training that prepares leaders to understand the human side of organizational change and the behaviors needed to effectively guide employees through it. Training should help leaders recognize common employee reactions to change, understand the factors that influence change readiness, and develop the four dimensions of transformational leadership associated with successful organizational change. Rather than relying on lecture-based instruction alone, organizations should incorporate active learning strategies such as realistic case studies, role-playing exercises, simulations, and structured feedback that allow leaders to practice communicating a compelling vision, building trust, responding to employee concerns, and encouraging new ways of thinking in a low-risk environment. Formal leadership training should occur early in a leader's tenure, before they are assigned stretch assignments or other developmental experiences that require them to apply these behaviors in the workplace.

Training alone is unlikely to change leader behavior unless organizations intentionally support the transfer of learning to the workplace. Before training, leaders and their supervisors should identify one or two transformational leadership behaviors to intentionally develop and identify immediate opportunities to practice those behaviors following training. Managers should reinforce learning by observing leaders as they apply new skills, providing timely coaching and feedback, and discussing progress during regular development conversations. These practices help ensure that transformational leadership behaviors become part of leaders' day-to-day approach rather than remaining concepts learned only during formal training.

Following formal training and opportunities to apply new skills in the workplace, leadership capabilities are further strengthened through challenging developmental experiences that require leaders to consistently demonstrate transformational leadership behaviors in real organizational settings. Examples of stretch assignments include leading cross-functional initiatives, implementing a new technology or AI-enabled workflow, facilitating process improvement efforts, presenting strategic initiatives that require employee buy-in, or leading projects requiring collaboration across multiple departments. These experiences allow leaders to practice effective change leadership before they are responsible for leading high-stakes organizational change.

Ongoing coaching, feedback, and structured reflection should continue throughout these developmental experiences. DeRue and Wellman (2009) found that challenging experiences contribute to leadership development, but experiences that become excessively demanding can reduce developmental value if leaders lack appropriate support. Throughout these stretch assignments, managers or mentors should regularly observe leaders as they apply transformational leadership behaviors, provide timely coaching and feedback, and help leaders adjust their approach as challenges arise. Structured reflection during and after these experiences should encourage leaders to evaluate how effectively they applied transformational leadership behaviors through the assignment. This ongoing reinforcement helps transform challenging experiences into meaningful leadership development opportunities while strengthening the transfer of newly learned leadership behaviors to future organizational change initiatives.

Reinforce Effective Change Leadership

Developing change leadership should not end once formal training or developmental experiences are complete. Organizations should reinforce effective change leadership through three ongoing practices:

- **Monitor leader effectiveness** using pulse surveys and 360-degree feedback.
- **Continue coaching and development** through targeted feedback and ongoing support.
- **Inform future promotion and selection** by using evidence gathered throughout leadership development to identify leaders who consistently demonstrate the behaviors and characteristics associated with successful organizational change.

Organizations should use pulse surveys to monitor how employees are responding throughout organizational change. Pulse surveys should assess employee readiness for change, trust in leadership, clarity of communication, and perceived support during the transition. Collecting these data before, during, and after change initiatives allows organizations to identify teams experiencing greater resistance or uncertainty and provide leaders with timely coaching or additional support. Organizations should also continue to utilize 360-degree feedback to evaluate whether leaders are improving and maintaining their transformational leadership behaviors. Together, pulse surveys and 360-degree feedback provide organizations with ongoing insight into leadership effectiveness, allowing them to identify emerging issues, deliver targeted coaching and continued developmental support, and reinforce effective change leadership behaviors throughout the change process.

Organizations should also use evidence gathered throughout training and developmental experiences to inform future promotion and selection decisions. Rather than relying solely on traditional leadership experience, organizations should identify leaders who consistently demonstrate the transformational leadership behaviors and underlying characteristics associated with successful organizational change. Internal observations can be supplemented with structured behavioral interviews designed around the four dimensions of transformational leadership as well as positive self-concept and risk tolerance, allowing organizations to evaluate how candidates have communicated a compelling vision, built trust during uncertainty, encouraged employees to think differently, coached individuals through challenging transitions, demonstrated confidence navigating uncertainty, and embraced ambiguous or novel situations. By reinforcing these expectations through ongoing feedback, internal promotion, and future selection practices, organizations can build a sustainable pipeline of leaders prepared to guide employees through organizational change.

Next Steps

As organizational change continues to accelerate, organizations that treat change leadership as an ongoing organizational capability rather than a one-time leadership initiative will be better positioned to navigate uncertainty, reduce employee resistance, and improve the success of future change initiatives. Effective change leadership requires leaders who can build trust, communicate a compelling vision, support employees through uncertainty, and encourage adaptation. By assessing current leadership capability, intentionally developing transformational leadership behaviors through formal training and developmental experiences, and reinforcing these capabilities through continuous feedback and promotion practices, organizations can build a sustainable pipeline of leaders prepared to guide employees through organizational change.

Before investing millions in AI or other major strategic initiatives, organizations should invest in the leaders responsible for helping employees adopt those changes. Organizations that prepare leaders before change occurs will be better positioned to maximize the value of those investments and improve the success of future organizational change efforts.

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About the Author

Kaitlin Jordan is an industrial-organizational psychology professional who believes the strongest organizations are built by investing in both people and the systems that enable them to do their best work. Combining operational leadership experience with a Master of Arts in Industrial-Organizational Psychology, she is passionate about translating evidence-based research into practical solutions that strengthen leaders, improve employee experiences, and help organizations navigate change. Her work and interests span talent development, organizational development, and people analytics, with an emphasis on using data and organizational psychology to solve complex workplace challenges.